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U.S. ECONOMICS NEWS

- **Business Investment:** Core capital goods shipments (non-defense, ex-aircraft), which feed directly into GDP's business investment calculation, rose 1.2% in September for an eighth straight monthly gain. They grew at a 16.5% annualized rate in Q3, up from 11.6% in Q2, and are up 11.5% year-on-year. That is the biggest non-COVID gain since 2012, driven by hyperscaler AI spending, reshoring, and investment-friendly tax changes.[3]
- **New Home Sales:** Sales of new single-family homes dipped 0.6% in September to a 676,000 annual rate, beating the 651,000 consensus but down 5.3% year-on-year. Activity is stuck near pre-pandemic levels, a ceiling for two years. Thirty-year mortgage rates have climbed about 130 basis points since early 2026 amid war-driven energy inflation and the Fed's resumed rate hikes.[3]
- **Fed Holds:** The FOMC kept the federal funds target at 3.75%-4.00% in a 10-2 vote, with Lisa Cook and Beth Hammack dissenting in favor of a quarter-point hike. Chair Kevin Warsh said September's hike is working as expected and further tightening risks hurting employment. He added that strong AI-driven capex and productivity mean the economy isn't overheating, so the Fed won't "throw sand in the gears."[3]
- **Meeting Overhaul:** Warsh announced that from 2027, one of the Fed's eight annual FOMC meetings will focus solely on monetary policy strategy with no rate vote, rising to two in 2028. The aim is clearer long-term goals. Economists expect a December hike but fewer subsequent hikes than markets price in. Easing oil prices or a Middle East resolution would likely enable a prolonged pause.[3]
- **GDP Beat:** Real GDP grew at a 3.4% annualized rate in Q3, topping the 3.2% consensus, driven by consumer spending up 3.8%. The AI build-out was striking: data center construction surged 127%, information-processing equipment 37.3%, and software 9.6%. Resulting tech imports made net exports subtract 3.3 points, the largest drag since 1947 outside Q1 2025's tariff front-running. Inventories and government added a likely temporary 2.5 points.[3]
- **Core GDP:** Core real GDP (consumer spending, business fixed investment and home building) grew at a 4.9% rate, the fastest in over five years, and is up 3.3% year-on-year. Inflation cooled, with the GDP price index rising 2.3% annualized versus 6.1% in Q2, though still up 3.7% annually. Nominal GDP grew 5.6%, and its 5.7% two-year pace suggests room for Fed hikes from 3.875%.[3]
- **PCE Inflation:** The PCE price index rose 0.5% in September and 3.6% year-on-year, led by a 9.1% jump in gasoline and energy goods tied to Middle East conflict. Core PCE, excluding food and energy, rose 0.3% and is up 3.1%, well above the Fed's 2% target. Still, M2 money supply growth of 5.7% roughly matches the low-inflation 2010s, suggesting inflation may ease without further hikes.[3]

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DIGITAL ASSETS NEWS

- **Binance Outflows:** Within just 9.5 hours of resuming withdrawals after a $6.3B hack, Binance recorded $3.64B in net outflows, suggesting users moved quickly to pull funds amid shaken confidence.[5]
- **Reserve Proof:** Binance's October 31 proof-of-reserves snapshot indicates customer holdings are backed above 100%, meaning the exchange reports holding more assets than users have deposited.[5]
- **Pension Wave:** Blockstream CEO Adam Back predicts pension funds and model portfolios will drive Bitcoin's "third wave" of adoption, following earlier retail- and institution-led phases. He points to Swiss banks already preparing to offer Bitcoin exposure, a sign that conservative, long-horizon capital allocators may soon treat small Bitcoin allocations as standard practice, potentially unlocking substantial and steady new demand.[5]

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GEOPOLITICS NEWS

- **China:** Beijing announced that special envoys will travel to Middle Eastern countries to promote dialogue and de-escalation. The move adds to regional efforts to prevent the US and Israel from resuming strikes on Iran, which Trump has hinted could restart after the November 3 midterms.[1]
- **European Union:** Christine Lagarde will step down as European Central Bank president in February, cutting short a term that was due to end in October 2027. The early exit smooths the transition ahead of Frce's spring presidential election. Her successor faces Chinese export pressure on Europe's industrial base and the fallout from disruptive US trade and energy policies.[1]
- **Iran:** Senior diplomats from Saudi Arabia, Pakistan and Turkey met Iranian leaders in Tehran in a push to end the war. Regional fears are mounting that the US and Israel will resume bombing after Israel's election and the US midterms. US intelligence chief Jay Clayton warned that Iran is in "advanced stages" of plotting against US officials abroad.[1]
- **Iran:** Tehran said it could reopen the Strait of Hormuz and resume nuclear talks within two days, shortened from seven, if Washington lifts its port blockade and oil sanctions and agrees to a ceasefire that includes Lebanon. Ships would have to follow an Iran-Oman route under Iranian supervision. China is sending an envoy to Iran, Saudi Arabia and Oman.[1]
- **Israel:** With 86% of votes counted, Netanyahu's bloc was on course for 53 seats against 48 for Eisenkot's opposition, losing its Knesset majority. Arab parties won an unprecedented 19 seats. Eisenkot can only unseat Netanyahu with Arab party backing, which many Jewish leaders reject. Netanyahu vowed to remove Iran's "existential threat" alongside Trump.[1]
- **Japan:** The US and Japan agreed to establish a Japanese facility for jointly producing advanced medium-range air-to-air missiles. Defense Minister Shinjiro Koizumi announced the deal after meeting US Defense Secretary Hegseth at a regional defense meeting in Cebu, Philippines. It is the allies' latest response to China's growing assertiveness.[1]

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THE GOOD NEWS

- **Nuclear Waste Solution:** Finland has licensed Onkalo, the world's first permanent underground repository for spent nuclear fuel, 22 years after construction began. Holding up to 6,500 tonnes of uranium from Finland's five reactors, it will seal fuel in corrosion-resistant copper canisters packed in bentonite clay deep in bedrock. This isolates the waste for roughly 100,000 years, until its radioactivity falls to natural uranium-ore levels.[2]
- **Metal Supply:** BloombergNEF's 2026 Transition Metals Outlook now expects nine of ten key energy-transition materials to have sufficient supply through 2050, up from seven last year, provided mine development continues. Fears of widespread shortages have largely faded. Copper is the exception: a deficit could begin in 2028 and reach 20 million tonnes by 2050, requiring $332 billion in new mine investment.[2]
- **Off-Grid Solar:** The number of people using off-grid solar products, from home systems and lanterns to water pumps, rose 26% in two years, from 118 million to 149 million, according to the World Bank's ESMAP and GOGLA. Off-grid solar increasingly powers businesses, livelihoods and essential services. It remains the cheapest electrification option for at least 398 million people, especially in sub-Saharan Africa, where grids often don't reach.[2]
- **Poverty Decline:** The share of humanity living on under $3 a day, the World Bank's extreme poverty line, fell from 36% in 2000 to 10% in 2024. Progress extends to higher thresholds too. The share under $5 a day dropped from 57% to 25%, and under $10 from 74% to 53%. This shows broadly rising living standards, not just people barely crossing a single line.[2]
- **Battery Safety:** Annual failure rates for US commercial and grid-scale batteries, including fires, explosions and arc flashes, fell over 97% between 2016 and 2025, even as cumulative installations grew 250-fold, according to EPRI and SEIA data. Stronger safety standards, more sophisticated battery technology and smarter project layouts drove the improvement. In three recent years, no failures were recorded at all.[2]
- **Iraq Solar:** Iraq has eliminated customs duties on imported solar energy systems, following a proposal from Electricity Minister Ali Saadi Waheeb. Tariffs once reached 33% before being cut to 5% in February, covering panels, inverters, cables and lithium batteries. The move should make solar more affordable in a country with chronic power shortages, frequent summer blackouts and heavy reliance on Iranian gas and electricity.[2]

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DIVIDEND PORTFOLIO NEWS

- **ADP:** Fiscal Q1 2027 revenue and earnings both beat estimates, and management raised its full-year growth outlook. ADP now forecasts 10%–12% adjusted EPS growth for fiscal 2027.[4]
- **CAT:** Q3 sales jumped 17% to $20.7B, in line with estimates, and adjusted EPS of $7.20 beat by $0.17. Management guided to mid- to high-teens sales growth in 2026, noting some engine orders now extend into 2029 and turbine orders into 2030.[4]
- **CEG:** Bloomberg reported the company will receive up to $5B in Department of Energy financing to expand nuclear capacity.[4]
- **CL:** Q3 adjusted EPS of $0.97 beat by $0.04, and revenue of $5.37B topped estimates by $40M. Management expects global category growth of 1.5%–3%, with cost pressures peaking in Q4 and logistics expenses hitting a yearly high.[4]
- **GD:** General Dynamics posted a strong Q3, with GAAP EPS of $4.49 beating by $0.36 and revenue of $14.6B topping estimates by a sizable $870M. Total backlog reached $220B, giving multi-year revenue visibility across Gulfstream business jets, submarines and combat systems.[4]
- **LMT:** The State Department approved a $2.1B Patriot missile sale to Ukraine, which benefits Lockheed as maker of the PAC-3 MSE interceptor. Lockheed also won a $694M U.S. Air Force contract and announced plans for a Patriot facility in Poland to meet growing European demand.[4]
- **NWG:** Shares fell after Q3 net interest income missed expectations, though management reaffirmed full-year guidance.[4]
- **SPGI:** Q3 adjusted EPS of $4.58 beat by $0.16, and revenue of $3.68B topped estimates by $40M. Management guided 2026 adjusted EPS to $17.70–$17.95.[4]
- **SYK:** Q3 adjusted EPS of $3.52 missed by $0.03, and revenue of $6.52B fell $100M short. A profit guidance cut sent shares lower. Management still expects 6.5%–7% organic net sales growth in 2026 and plans to scale the Versius surgical robot in the U.S. Versius expands Stryker into soft-tissue robotics.[4]
- **TEL:** Management plans to add over $1B in digital data networks (DDN) revenue in fiscal 2027, driven by AI data center connectivity demand. That expands its exposure beyond core automotive and industrial markets.[4]

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GROWTH PORTFOLIO NEWS

- **AEM:** Q3 adjusted EPS of $2.62 beat by $0.06, and revenue of $3.58B beat by $80M. Management laid out a plan to grow gold production 20%–30% over the next decade, targeting more than 4M oz/year by the early-to-mid 2030s.[4]
- **CNX:** Reported Q3 results and set a capital efficiency target of $0.85–$0.90, while confirming it will stay in "maintenance production mode" through 2027. The strategy favors free cash flow and buybacks.[4]
- **CVX:** Q3 adjusted EPS of $5.28 beat by $0.45, and revenue of $67.79B beat by $5.59B. Profit nearly tripled on record refinery throughput and the crude rally tied to the Iran conflict.[4]
- **FCX:** Q3 adjusted EPS of $0.88 beat by $0.05, and revenue of $7.55B beat by $150M, despite lower production and rising costs. Freeport expects copper sales of 3.7B lbs in 2027 and over 4B lbs in 2028.[4]
- **FTNT:** Q3 adjusted EPS of $0.91 beat by $0.05, revenue of $2.08B topped estimates, and Fortinet raised guidance again, with 2026 billings of $9.568B–$9.718B. Shares still fell to a five-month low.[4]
- **HOOD:** Q3 adjusted EPS of $0.60 missed by $0.04, and revenue of $1.42B missed by $10M, partly due to losses tied to its venture capital fund. Robinhood guided 2026 adjusted OpEx to $2.675B–$2.75B and plans 24/7 equity trading later this year.[4]
- **MRVL:** Announced a $115B all-stock acquisition of Lumentum, a maker of optical components critical to AI data center connectivity, reportedly without a large premium.[4]
- **NOW:** Q3 adjusted EPS of $1.00 missed by $0.02, while revenue of $4.11B beat, and subscription revenue grew 20.9% to $3.99B. ServiceNow raised its 2026 free cash flow margin target to 36% and aims for more than $1.7B in AI annual contract value by year-end. A weak forecast still crushed shares.[4]
- **NVDA:** Will invest $3B in Meta stock and expand collaboration on Meta's Muse models. It is also reportedly weighing billions in credit guarantees for Nscale's Anthropic data center.[4]
- **NXPI:** Q3 adjusted EPS of $4.20 and revenue of $3.79B both beat, but Q4 revenue guidance of $3.85B disappointed and shares tumbled. NXP targets a 60% gross margin by 2027 and added a $5B buyback.[4]
- **OKE:** Q3 GAAP EPS of $2.13 beat estimates by $0.63. ONEOK raised its 2026 adjusted EBITDA midpoint to about $8.55B and reaffirmed a 3.25x leverage target, signaling continued deleveraging after its string of midstream acquisitions.[4]
- **SOFI:** Beat on both revenue and earnings, raised its 2026 outlook, and introduced 2027 targets of $6.4B adjusted net revenue and $0.90 adjusted EPS. Members grew 35% year over year to a record 17.1M, and products grew 44% to 26.7M.[4]

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SUMMARY

In regard to the United States Economy, real GDP grew at a 3.4% annualized rate in the third quarter, powered by consumer spending and a striking AI build-out, while core GDP posted its fastest pace in over five years. Business investment notched an eighth straight monthly gain. The Fed held rates steady, citing productivity gains, though inflation remains elevated near 3.6% amid energy pressures, and housing stays stuck near pre-pandemic levels.

In the world of digital assets, confidence was tested after a major exchange's $6.3 billion hack, with $3.64 billion in net outflows recorded within hours of withdrawals resuming. The exchange later published a proof-of-reserves snapshot showing customer holdings backed above 100%, though such reports capture only a single moment. Looking ahead, pension funds and model portfolios may drive Bitcoin's next adoption wave, potentially unlocking steady new long-term demand.

Recently around the globe, diplomatic efforts intensified to end the Iran war, with Saudi, Pakistani and Turkish envoys visiting Tehran and China dispatching its own representatives across the region. Iran offered to reopen the Strait of Hormuz if Washington lifts its blockade and sanctions. Israel's election left Netanyahu's bloc short of a majority, the ECB's Lagarde will step down early, and the US and Japan agreed to jointly produce advanced missiles.

For the good news, Finland licensed the world's first permanent underground repository for spent nuclear fuel, isolating waste for roughly 100,000 years. Extreme poverty fell from 36% of humanity in 2000 to just 10% in 2024. Off-grid solar now reaches 149 million people, grid battery failure rates dropped over 97%, Iraq eliminated solar import duties, and most energy-transition metals now appear sufficiently supplied through 2050, except copper.

In the news for the dividend portfolio, earnings season delivered mostly solid results. ADP, Colgate, General Dynamics and S&P Global beat estimates, with several raising guidance. Caterpillar and TE Connectivity benefited from AI data center demand, though shares slipped on high expectations and tariff costs. Constellation secured up to $5 billion in nuclear financing, Lockheed gained from Patriot demand, while Stryker and NatWest disappointed with earnings misses.

And, for the growth portfolio, results were mixed amid a broad technology selloff. Chevron's profit nearly tripled on record refining and higher crude, while SoFi jumped on record member growth and new 2027 targets. Freeport and Agnico Eagle beat estimates with strong production outlooks. However, ServiceNow, Fortinet and NXP fell on soft forecasts or slowing growth, Robinhood missed, and Marvell gapped down after announcing a $115 billion acquisition of Lumentum.

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RESOURCES

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